

Before 2027: What Nigerians Need to Know About the Nigerian Economy

As Nigeria approaches the 2027 general elections, it has become increasingly important for citizens to understand the true state of the Nigerian economy—beyond political rhetoric. Following the major economic reforms initiated by the current administration in 2023, particularly the unification of the official and parallel foreign exchange markets and the removal of fuel subsidies, Nigerians have been forced to adjust to significant economic shocks.

While these reforms have generated widespread criticism—especially from opposition parties accusing President Bola Ahmed Tinubu of implementing policies that have worsened living standards—it is essential to examine the available data objectively. When viewed through a longer historical lens, it becomes clear that these policies were not optional. The Nigerian economy, as structured prior to 2023, was already on a trajectory toward severe fiscal and macroeconomic collapse.

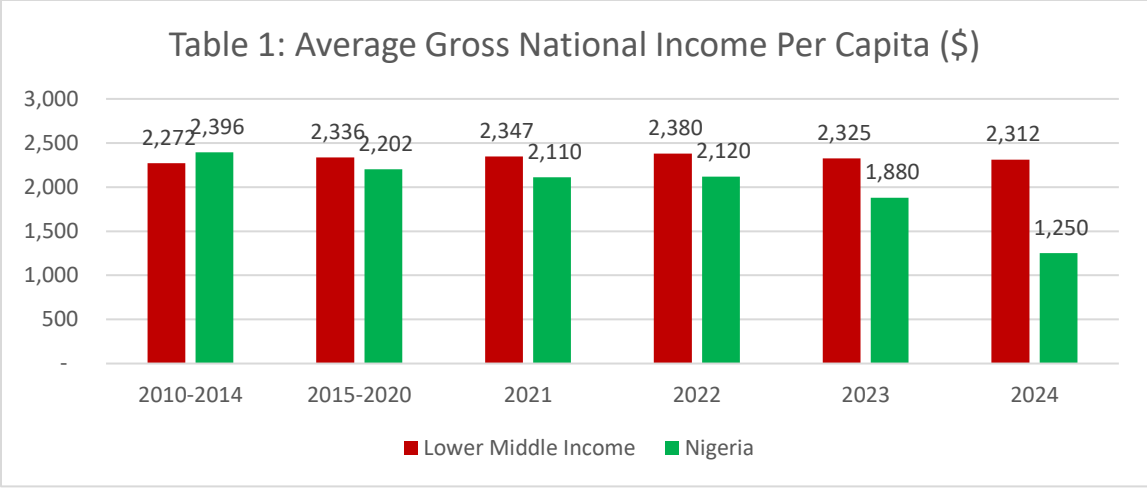
To place Nigeria's performance in context, the World Bank classifies countries into income groups based on Gross National Income (GNI) per capita:

- **Low Income:** \$1,025 or less
- **Lower Middle Income:** \$1,026 – \$4,035
- **Upper Middle Income:** \$4,036 – \$12,475

Nigeria currently falls within the **Lower Middle-Income** category. This classification allows for a meaningful comparison between Nigeria and other countries facing similar structural and developmental challenges.

Declining GNI Per Capita: A Measure of Strain

Using GNI per capita as a proxy for living standards, Nigeria's relative economic position has weakened notably since 2015. As shown in Table 1, Nigeria's GNI per capita declined from an average of **\$2,396 between 2010–2014** to **\$2,110 in 2021**, and further to approximately **\$1,250 in 2024**. Over this period, Nigeria's GNI per capita consistently fell below the average of countries within the same income group.

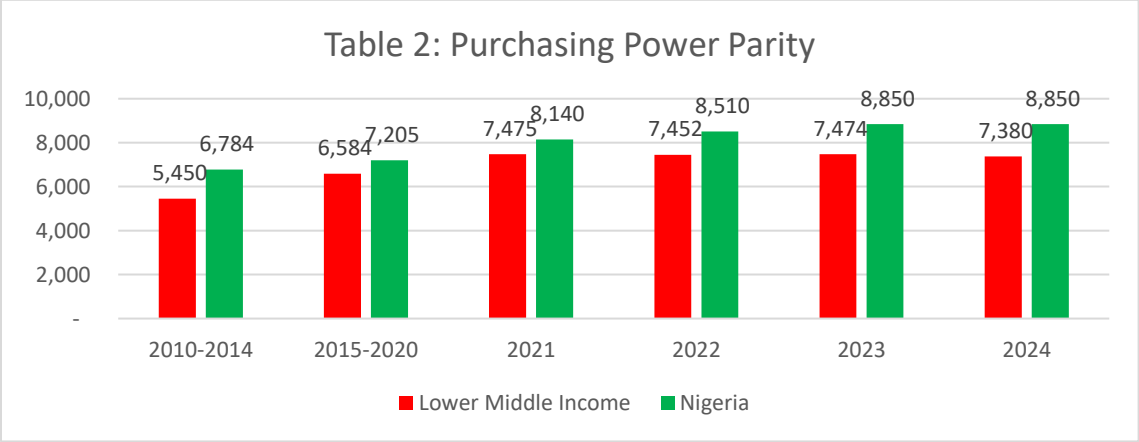


This trend may appear counterintuitive, especially given that the naira was fully floated in 2023—allowing the currency to find its market-determined value. However, the sharp decline reflects years of accumulated distortions, including exchange-rate misalignment, subsidy burdens, and suppressed fiscal pressures that were eventually revealed once reforms began.

Purchasing Power Parity Tells a Different Story

A contrasting picture emerges when **Purchasing Power Parity (PPP)** is used to assess real living conditions. PPP adjusts for differences in price levels across countries and better captures what people can actually afford in their local economies.

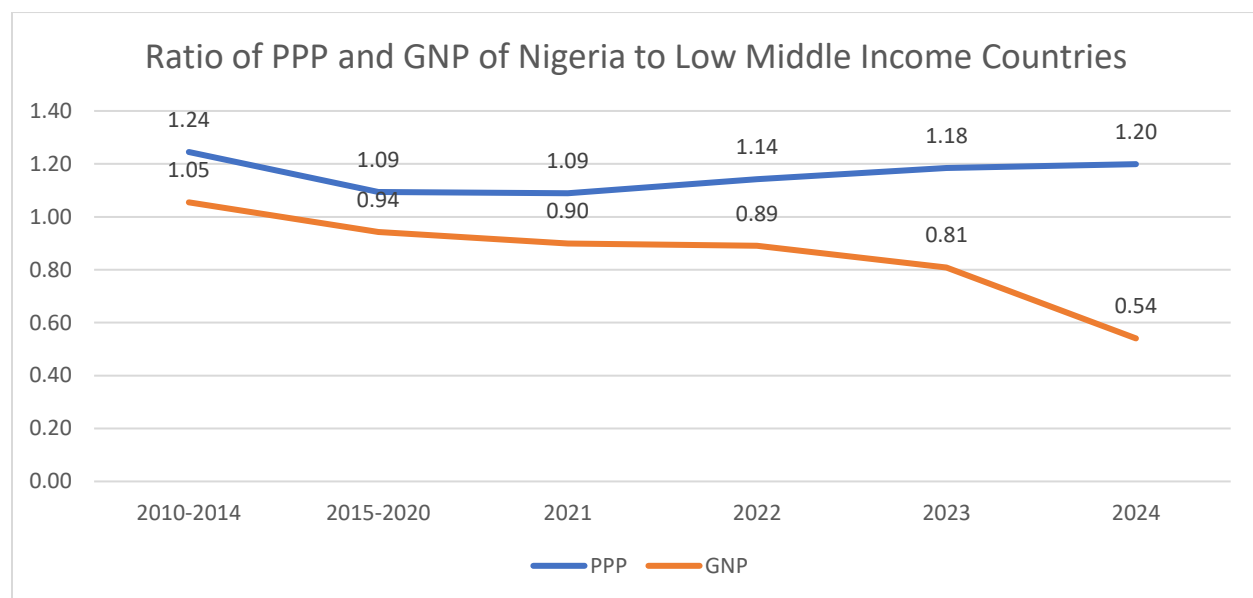
As shown in Table 2, Nigeria’s PPP has **steadily increased over time**, rising from **6,784 in 2010–2014** to **8,510 in 2022**, and further to **8,850 in 2024**. Importantly, Nigeria’s PPP exceeded the average PPP of countries in the same Lower Middle-Income group throughout the entire period of analysis.



This suggests that despite nominal income declines measured in dollar terms, the real purchasing capacity of Nigerians—relative to peers—has remained resilient and, in recent years, has improved.

Interpreting the Combined Evidence

Table 3 provides a useful summary of these trends. Nigeria's GNI per capita was **1.05 times higher than the group average between 2010–2014**, but declined to **0.89 by 2022**, and further toward roughly **half of the group average by 2024**. In contrast, Nigeria's PPP ratio fell from **1.24 before 2014** to **1.09 in 2021**, but then began a sustained recovery—reaching **1.20 by the end of 2024**.



Taken together, these indicators suggest that while Nigerians have experienced real short-term hardship—especially during the adjustment phase of reforms—the underlying economy is beginning to respond positively. The apparent contradiction between declining dollar-denominated income and improving purchasing power reflects a necessary but painful transition away from long-standing structural distortions.

Conclusion

In essence, the data indicate that Nigeria is gradually adjusting to long-overdue policy reforms. This empirical evidence stands in contrast to narratives that portray the reforms as purely destructive. While the costs of adjustment are real and unevenly distributed, the improving PPP trends suggest that the economy is stabilizing and laying the groundwork for more sustainable growth.

As Nigerians evaluate economic claims in the lead-up to 2027, it is crucial to ground discussions in data, context, and long-term realities—rather than short-term political narratives.